Practice workbook · Why motivating and keeping staff matters

The importance of motivation: attracting and retaining employees, productivity, and reasons for paying above the minimum wage.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S2-22

1. Question 2 · part e · 3 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

2 During the preparation of food, the chefs at *Can Culleretes* have to follow health and safety regulations. New regulations are made from time to time.

(a) State **one** impact government legislation could have on *Can Culleretes*. **(1)**

(b) State **one** way *Can Culleretes* might add value to its business. **(1)**

(c) Explain **one** method a business could use to encourage repeat purchase of its products. **(3)**

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1. Question 2 · part e · 3 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

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(d) Explain **one** disadvantage of using personal savings as a source of finance for a business.

(3)

(e) Explain **one** benefit for a business of motivating its employees.

(3)

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Turn over ▶

1. Question 2 · part e · 3 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

Can Culleretes is looking to improve its revenue and is considering two options:

Option 1: increase advertising

Option 2: opening for breakfast.

(f) Justify which **one** of these two options *Can Culleretes* should choose.

(9)

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1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a only.

2 *Huawei* is one of many businesses that manufacture smartphones and tablets. It therefore needs to keep and retain its staff, so that production is continuous. This will help to maintain its customers.

(a) State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage.

(1)

(b) State **one** possible reason why *Huawei* would want to keep its customers loyal to its brand.

(1)

(c) Explain **one** reason why having good public relations is important to a business.

(3)

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2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part d · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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1 *Cadbury* was founded in 1842 when John Cadbury opened a shop in Birmingham in the UK. The shop sold cocoa and drinking chocolate. *Cadbury* is now one of the major chocolate manufacturers in the world.

In 1918 the first overseas *Cadbury* factory was opened in Hobart, Tasmania in Australia. Another factory opened in South Africa in 1938. *Cadbury* chocolates are sold across the world and other factories have been opened. *Cadbury* produces many well-known brands, such as Dairy Milk, Buttons and Crunchie. It also produces ice cream and cakes.

Cadbury is now part of *Mondelez*, the largest snack business in the world.

(a) (i) Which **one** of the following types of business ownership would usually be formed by a business of two solicitors?

Select **one** answer.

(1)

- ☒ **A** Sole trader
- ☒ **B** Partnership
- ☒ **C** Public Corporation
- ☒ **D** Public Limited Company

(ii) Which **one** of the following would show a business its cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** Cash inflows and outflows
- ☒ **B** Money owed to its creditors
- ☒ **C** Net cash flow
- ☒ **D** Opening and closing balances

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3. Question 1 · part d · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

In the UK an 850 gram *Cadbury* Dairy Milk Bar costs £9.99 (GBP).

The exchange rate is £1.00 = 20.58 ZAR (South African Rand)

(iii) Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars?

Select **one** answer.

(1)

- ☒ **A** 41.60
- ☒ **B** 205.60
- ☒ **C** 411.19
- ☒ **D** 411.60

(iv) Which **one** of the following functional areas would a skilled machinist work in?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Marketing

A *Cadbury* Crunchie Bar normally costs £0.95. It is on special offer for £0.87.

(v) What is the percentage decrease in the price of the *Cadbury* Crunchie?

Select **one** answer.

(1)

- ☒ **A** 0.92%
- ☒ **B** 1.09%
- ☒ **C** 8.00%
- ☒ **D** 8.42%

(vi) Which **one** of the following is an example of secondary market research?

Select **one** answer.

(1)

- ☒ **A** Telephone Survey
- ☒ **B** Market Report
- ☒ **C** Test Marketing
- ☒ **D** Focus Group

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3. Question 1 · part d · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(b) Define the term **personal savings**.

(1)

(c) Define the term **sole trader**.

(1)

(d) State **one** reason why *Cadbury* might pay its UK employees above the minimum wage.

(1)

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3. Question 1 · part d · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Cadbury makes a chocolate cake for £6.50. A tax of 20% is added to give the selling price.

(e) Calculate the selling price of the chocolate cake. You are advised to show your working.

(2)

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(f) Explain **one** advantage for businesses if banks reduce their interest rates.

(3)

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3. Question 1 · part d · 1 mark · Working and answer

Working and answer

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4. Question 1 · part d · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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1 *Mahindra & Mahindra Limited (M&M)* is an Indian multinational vehicle manufacturing corporation with its headquarters in Mumbai, India. It is one of the largest manufacturers of cars, vans and tractors in the world.

M&M started in 1945 and has prospered for over 75 years with the aim of 'Rising through crisis'. In the 1970s with the oil crisis that sent the cost of petrol rising, it adapted its tractor diesel engines to be used in its cars and vans.

M&M is committed to ensuring that it protects the environment. In 2020 it planted 1.32 million trees across India. It supports schools for disadvantaged children and teenagers.

Figure 1 Maslow's Hierarchy of Needs

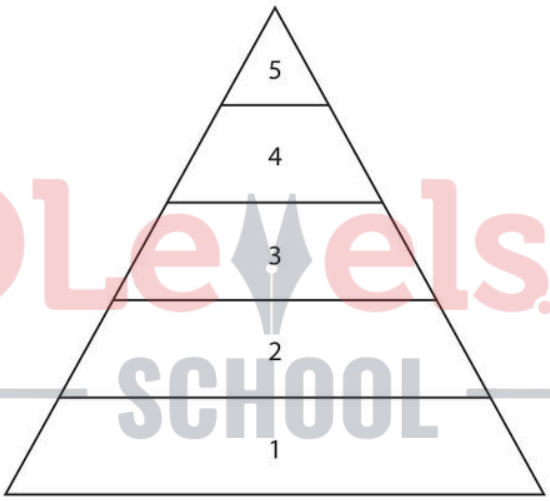


Figure 1

(a) (i) Which **one** of the following is Level 3 in Maslow's Hierarchy of Needs?

Select **one** answer.

(1)

- ☒ **A** Esteem
- ☒ **B** Social
- ☒ **C** Safety
- ☒ **D** Basic

4. Question 1 · part d · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Venture capital

Below is an extract from a cash flow forecast for one month.

The opening balance was £20 000, cash inflow £28 000 and cash outflow £56 000.

(iii) Which **one** of the following is the closing balance for the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£28 000
- ☒ **B** –£8 000
- ☒ **C** £48 000
- ☒ **D** £84 000

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(iv) Which **one** of the following is a reason why governments raise tax rates?

Select **one** answer.

(1)

- ☒ **A** To raise revenue for the government
- ☒ **B** To attract multinationals
- ☒ **C** To raise demand in the economy
- ☒ **D** To reduce unemployment

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4. Question 1 · part d · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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In 2020 *M&M* sold 288,302 tractors. The number of tractors sold in 2021 was 12% higher.

(v) What would be the number of tractors sold in 2021?

Select **one** answer.

(1)

- ☒ **A** 253,706
- ☒ **B** 300,302
- ☒ **C** 322,898
- ☒ **D** 322,910

A shop owner wanted to gain information from potential customers before opening his shop.

(vi) Which **one** of the following market research methods would the shop owner use?

Select **one** answer.

(1)

- ☒ **A** Market segment
- ☒ **B** Primary research
- ☒ **C** Research and development
- ☒ **D** Secondary research

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4. Question 1 · part d · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(b) Define the term **public corporation**.

(1)

(c) Define the term **qualitative market research**.

(1)

(d) State **one** reason why it is important for *M&M* to motivate its employees.

(1)

In 2019 *M&M* borrowed 448 million Indian Rupees. In 2020 it borrowed 900 million Indian Rupees.

(e) Calculate, to two decimal places, the percentage increase from 2019 to 2020. You are advised to show your working.

(2)

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4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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5. Question 2 · part b · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part b only.

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2 (a) State **one** advantage for *PPS* of keeping its customers loyal.

(1)

(b) State **one** reason why *PPS* motivates its employees.

(1)

(c) Explain **one** impact on a business of ineffective communication.

(3)

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5. Question 2 · part b · 1 mark · Working and answer

Working and answer

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part d only.

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1 *TUI* is a holiday business that has over 100 years of experience. It offers customers a variety of holidays including staying in hotels, and river and ocean-going cruises. There are many extras that it offers to holiday makers including: car hire, extensions to the holiday and arranging day trips at all its holiday destinations.

The business is well known and flies its customers to over 180 destinations around the world, including Greece, Turkey and Spain. It has 1,600 travel agencies and 27 million customers. Holidays can be booked by visiting a travel agency or online.

TUI has holidays to meet the needs of all its customers: families, children, couples and those with disabilities.

(a) (i) Which **one** of the following is a non-financial objective?

Select **one** answer.

(1)

- ☒ **A** Generating wealth
- ☒ **B** Personal satisfaction
- ☒ **C** Maximising profit
- ☒ **D** Regular income

(ii) Which **one** of the following would be a benefit to a business delaying paying its suppliers?

Select **one** answer.

(1)

- ☒ **A** Improved cash flow
- ☒ **B** Increased profit
- ☒ **C** A reduction in the amount of interest paid
- ☒ **D** Improved relationship with suppliers

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part d only.

Jewellery For You is a jewellery business making earrings and necklaces from stones and pebbles found on local beaches. It makes 240 items a month.

Price per item	€27
Variable costs per item	€12
Fixed costs per month	€600

(iii) Which **one** of the following would be the total monthly cost for Jewellery For You?

Select **one** answer.

(1)

- ☒ **A** €924
- ☒ **B** €3 480
- ☒ **C** €6 480
- ☒ **D** €7 080

(iv) Which **one** of the following is a reason why a business would produce a cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** It is a legal requirement that a business has a cash flow forecast
- ☒ **B** A cash flow forecast ensures that the business will be successful
- ☒ **C** It can help a bank decide whether it should lend money to a business
- ☒ **D** To show the profit and loss of a business in the past six months

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part d only.

A 7-day holiday in Thailand in October 2023 cost £998.00.

The exchange rate is £1 = 40.91 Thai Baht (THB).

(v) Which **one** of the following was the cost of the holiday in Thai Baht?

Select **one** answer.

(1)

- ☒ **A** 24.40
- ☒ **B** 1 038.91
- ☒ **C** 40 828.18
- ☒ **D** 40 869.09

(vi) Which **one** of the following is a reason why a sole trader would want to become a private limited company?

Select **one** answer.

(1)

- ☒ **A** The business can keep financial records confidential
- ☒ **B** The business will have unlimited liability
- ☒ **C** Shareholders are liable for all debts
- ☒ **D** Increased ability to raise finance

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part d only.

(b) Define the term **franchise**.

(1)

(c) Define the term **profit**.

(1)

(d) State **one** reason why *TUI* pays its employees above the minimum wage.

(1)

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part d only.

TUI is charging an adult £725.92 for a week in Cyprus. If booked online there is a discount of 12.5%.

(e) Calculate the total price of a holiday for **two** adults with a 12.5% promotional discount for booking online. You are advised to show your working.

(2)

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(f) Explain **one** of the factors in Herzberg's motivational theory.

(3)

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6. Question 1 · part d · 1 mark · Working and answer

Working and answer

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7. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

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1 Gianni Polvani opened his first gym, *Four Fitness*, over 20 years ago. He now employs 14 highly-qualified gym instructors in his two gyms. Both gyms are in Italy, one in Arezzo and the other in Castiglion Fiorentino.

The gym encourages its members to take part in all the physical activities it offers. Members can take part in a number of social activities as well.

Four Fitness has a website which is primarily for information only. The website details such things as opening hours and descriptions of available activities. It cannot be used to book activities or access personal training plans.

(a) (i) Which **one** of the following is a debt payable within 12 months?

Select **one** answer.

(1)

- ☒ **A** Current asset
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Non-current liability

(ii) Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market?

Select **one** answer.

(1)

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

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7. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

(iii) Which **one** of the following is a role of the human resources department?

Select **one** answer.

(1)

- ☒ **A** Reducing costs
- ☒ **B** Designing products
- ☒ **C** Customer service
- ☒ **D** Recruiting employees

(iv) Which **one** of the following is a benefit to a shareholder of having limited liability?

Select **one** answer.

(1)

- ☒ **A** Choosing who can buy shares
- ☒ **B** May build a better relationship with suppliers
- ☒ **C** Own possessions are not at risk
- ☒ **D** Employee motivation will increase

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7. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

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Four Fitness is considering introducing sports drinks to sell to its customers and to do this it needs to hire a fridge to store the sports drinks. To decide whether it is a good business decision, it needs to work out the break-even level of output.

Figure 1 shows some financial data to assist this decision.

	€
Fixed costs	280
Variable cost per unit	0.70
Revenue per unit	1.50

Figure 1

(v) Which **one** of the following is the break-even level of output?

Select **one** answer. (1)

- ☒ **A** 280
- ☒ **B** 350
- ☒ **C** 420
- ☒ **D** 616

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7. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

Figure 2 is a financial extract from a gym equipment business that supplies *Four Fitness*.

	€
Total revenue	132 165
Total labour costs	54 000
Total material costs	17 000
Other costs	17 400

Figure 2

(vi) Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business?

Select **one** answer. (1)

☒ **A** It made a loss of €88 400

☒ **B** It made a loss of €61 165

☒ **C** It made a profit of €43 765

☒ **D** It made a profit of €78 165

(b) Define the term **trade bloc**. (1)

(c) Define the term **job production**. (1)

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7. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

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(d) State **one** reason why *Four Fitness* would pay its employees more than the minimum wage.

(1)

As part of its 'social activities' *Four Fitness* is planning an evening event promoting healthy eating and living. The price of a ticket is €35. *Four Fitness* members will be given a 7% discount.

(e) Calculate the total price if five *Four Fitness* members attend the event. You are advised to show your working.

(2)

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(f) Explain **one** impact to a business of providing fringe benefits to employees.

(3)

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7. Question 1 · part d · 1 mark · Working and answer

Working and answer

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8. Question 1 · part d · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part d only.

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1 In 1971 *Starbucks* opened its first coffee shop in Seattle, Washington, US. Since then, it has experienced significant growth with more than 32,000 stores operating across 80 countries. It sells coffee and food products including cakes, biscuits and sandwiches. *Starbucks* has a mission 'To inspire and nurture the human spirit – one person, one cup and one neighbourhood at a time.'

Starbucks refers to its employees as 'partners' as they encourage people to support each other and work to achieve common goals. It offers the opportunity for partners to develop their skills and knowledge of the coffee shop market, by starting as baristas, then as coffee masters and finally as coffee shop managers.

(a) (i) Which **one** of the following is a secondary sector activity?

Select **one** answer.

(1)

- ☒ **A** Coal mining
- ☒ **B** Engineering
- ☒ **C** Farming
- ☒ **D** Insurance

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Selling assets
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Bank loan

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8. Question 1 · part d · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part d only.

Starbucks has special offers to encourage customers to purchase more coffee.

A latte usually costs $5.90 (US Dollars) and is now on special offer at $5.35.

(iii) Which **one** of the following is the percentage decrease in the price of a latte?

Select **one** answer.

(1)

- ☒ **A** 0.55%
- ☒ **B** 2.94%
- ☒ **C** 9.32%
- ☒ **D** 10.28%

(iv) Which **one** of the following is the minimum number of owners in a partnership?

Select **one** answer.

(1)

- ☒ **A** 1
- ☒ **B** 2
- ☒ **C** 20
- ☒ **D** 50

An online book club charges its members £4.49 (GBP) a month.

The exchange rate is £1.00 to 92.09 Indian Rupees (INR).

(v) Which **one** of the following would be the monthly price in Rupees to be a member in India?

Select **one** answer.

(1)

- ☒ **A** 413.48
- ☒ **B** 1105.08
- ☒ **C** 4 134.84
- ☒ **D** 4 961.81

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8. Question 1 · part d · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part d only.

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(vi) Which **one** of the following is an external source of finance for managing immediate cash flow problems?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Overdraft

(b) Define the term **social enterprise**.

(1)

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(c) Define the term **tertiary sector**.

(1)

(d) State **one** reason why *Starbucks* wants to retain its employees.

(1)

8. Question 1 · part d · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part d only.

In 2022 the worldwide coffee shop industry had a total revenue of $165.70 billion.

It is estimated that by 2030 the percentage increase in total revenue is expected to be 38.25%.

(e) Calculate, to two decimal places, the estimated total revenue in 2030. You are advised to show your working.

(2)

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(f) Explain **one** disadvantage for a business of training its employees.

(3)

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8. Question 1 · part d · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 2 · part c · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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2 *Yellow* has introduced a new product, 'Design Your Own Shirt'. Customers can choose the colour, sleeve length and number of pockets.

(a) State **one** benefit to *Yellow of* introducing this product.

(1)

(b) State **one** way *Yellow* could carry out market research.

(1)

(c) Explain **one** benefit to a business of retaining its employees.

(3)

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(d) Explain **one** advantage for a business of using targeted advertising online.

(3)

9. Question 2 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 2 · part c · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

2 All 18,000 *LEGO* employees are full-time.

(a) State **one** financial objective for *LEGO*.

(1)

(b) State **one** possible reason why *LEGO* does not recruit casual employees.

(1)

(c) Explain **one** reason why a business would pay its employees above the minimum wage.

(3)

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10. Question 2 · part c · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

(d) Explain **one** reason why product trials are important to a business.

(3)

(e) Explain **one** reason why a business complies with health and safety legislation.

(3)

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10. Question 2 · part c · 3 marks · Working and answer

Working and answer

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11. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

3 (a) Define the term **inventory**.

(1)

(b) Outline **one** method that *TBTS* might use to respond to greater competition.

(2)

In 2021, a *TBTS* toy shop had current liabilities of 36 000 SGD and current assets of 216 000 SGD.

(c) Calculate the current ratio for 2021. You are advised to show your working.

(2)

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11. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

(d) Analyse the importance of *TBTS* motivating its employees.

(6)

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11. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

TBTS is planning to introduce a new range of toys for four-year-old children. It will need to carry out some research from its customers, including children and parents, to find out what they want.

TBTS is considering two options:

Option 1: hand out questionnaires to customers that visit the shops

Option 2: hold focus group meetings with parents and their children.

(e) Justify which **one** of these two options *TBTS* should choose.

(9)

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11. Question 3 · part d · 6 marks · Working and answer

Working and answer

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12. Question 1 · part g · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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1 *Aude Rose* is a flower shop in Paris, France. It was set up by Aude Anglaret after she graduated with a qualification in floristry. It opened a shop in 2009 in the outskirts of Paris. Since then it has gone from strength to strength increasing its market share. To meet this increase in demand it has closed its first shop and opened a larger one in the centre of Paris with a higher rent and a possible increase in customers. It currently employs four florists. *Aude Rose* has been recognised for its high-quality flower arrangements that have been seen in several wedding magazines.

(a) (i) Which **one** of the following describes a minimum wage?

Select **one** answer.

(1)

- ☒ **A** Fixed amount per year and paid monthly
- ☒ **B** The lowest amount a business can legally pay its employees
- ☒ **C** Payment made to an employee for working additional hours
- ☒ **D** Payment made to an employee for reaching a target

(ii) Which **one** of the following describes the cash cow category in the Boston matrix?

Select **one** answer.

(1)

- ☒ **A** High market growth, high market share
- ☒ **B** High market growth, low market share
- ☒ **C** Low market growth, high market share
- ☒ **D** Low market growth, low market share

(iii) Which **one** of the following would give a business a negative cash flow?

Select **one** answer.

(1)

- ☒ **A** Cash inflow is greater than cash outflow
- ☒ **B** Costs are greater than profits
- ☒ **C** Profits are greater than costs
- ☒ **D** Cash outflow is greater than cash inflow

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12. Question 1 · part g · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(iv) Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Person specification
- ☒ **C** Application form
- ☒ **D** Curriculum vitae

To wrap its flowers *Aude Rose* buys 150 metres of wrapping paper from London, England every week at a cost of £0.46 per metre.

In October 2022 the exchange rate was £1 = €1.15

(v) Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper?

Select **one** answer.

(1)

- ☒ **A** €79.35
- ☒ **B** €276.00
- ☒ **C** €317.40
- ☒ **D** €396.75

Aude Rose provides flowers for large events. The most popular is a selection of traditional flowers selling for €65. The cost of making this selection of flowers is €42.

(vi) Which **one** of the following is the markup for a selection of traditional flowers?

Select **one** answer.

(1)

- ☒ **A** 54.76%
- ☒ **B** 64.62%
- ☒ **C** 182.61%
- ☒ **D** 282.61%

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12. Question 1 · part g · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(b) Define the term **economies of scale**.

(1)

(c) Define the term **stakeholder**.

(1)

(d) State **one** benefit to *Aude Rose* of using just-in-time (JIT) production.

(1)

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Aude Rose has fixed costs of €50 000 a year with a selling price of €50 and a variable cost of €10 per bunch of flowers sold.

(e) Calculate how many bunches of flowers *Aude Rose* will have to sell to break-even. You are advised to show your working.

(2)

..... bunches of flowers

12. Question 1 · part g · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(f) Explain **one** reason why a business might fail.

(3)

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12. Question 1 · part g · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(g) Analyse the importance to Aude Anglaret of motivating her employees.

(6)

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(Total for Question 1 = 20 marks)

12. Question 1 · part g · 6 marks · Working and answer

Working and answer

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13. Question 1 · part g · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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1 *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

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13. Question 1 · part g · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(iv) Which **one** of the following is a debt payable after 12 months?

Select **one** answer.

(1)

- ☒ **A** Non-current liability
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Current asset

Café Pinch sells many filled Ciabattas. The most popular is mozzarella cheese and avocado, selling for €5.30. The cost of making this Ciabatta is €2.56.

(v) Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta?

Select **one** answer.

(1)

- ☒ **A** 48%
- ☒ **B** 93%
- ☒ **C** 107%
- ☒ **D** 207%

Café Pinch wants to add French Fries to its menu. It will use British potatoes costing £0.82 per kilo.

The exchange rate is €1 (euro) = £0.84.

(vi) Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes?

Select **one** answer.

(1)

- ☒ **A** €59.52
- ☒ **B** €48.81
- ☒ **C** €42.00
- ☒ **D** €41.00

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13. Question 1 · part g · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(b) Define the term **variable cost**.

(1)

(c) Define the term **niche marketing**.

(1)

(d) State **one** way *Café Pinch* can react to external social factors affecting its business.

(1)

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13. Question 1 · part g · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Customers who buy a ham Ciabatta for €7.50, a sweet waffle for €2.90 and a coffee at €3.60 would pay a total of €14.00. A lunchtime special deal offers them a 5% discount.

(e) Calculate what a customer would pay for these three items after the discount is applied. You are advised to show your working.

(2)

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(f) Explain **one** advantage to a start-up business of using a venture capitalist.

(3)

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13. Question 1 · part g · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(g) Analyse the importance to Kumaran, the owner of *Café Pinch*, of having motivated employees.

(6)

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(Total for Question 1 = 20 marks)

13. Question 1 · part g · 6 marks · Working and answer

Working and answer

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14. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

3 *Premier Inn* employees play an important part in the running of its hotels and providing a good service. If they provide a good service, it means guests may return.

(a) Define the term **net cash flow**.

(1)

(b) Outline **one** possible reason why prospective employees at *Premier Inn* complete an application form.

(2)

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Employees of *Premier Inn* earn £15.27 per hour when working overtime.

(c) Calculate, to two decimal places, what an employee would earn if they worked six hours of overtime. You are advised to show your working.

(2)

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14. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

(d) Analyse the benefits for *Premier Inn* of motivating its employees.

(6)

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14. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

Premier Inn has employees across the world. When a new position becomes available, *Premier Inn* must make sure that the recruitment method used is the correct one for the vacant position. It is considering the following two options:

Option 1: internal recruitment from within *Premier Inn* hotels around the world

Option 2: external recruitment, by using an employment agency.

(e) Justify which **one** of these two options *Premier Inn* should choose.

(9)

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14. Question 3 · part d · 6 marks · Working and answer

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